

Strides for Multifaceted Growth

INTERIM FINANCIAL STATEMENTS

FOR THE PERIOD ENDED
31ST MARCH 2024



Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2024

Income Statement

For the period ended 31 March	Note	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Gross Written Premium	4	568,240,498	730,146,495
Premium ceded to reinsurers	5	(22,268,362)	(23,680,453)
Net written premium		545,972,136	706,466,042
Other revenue			
Fees and commission income		5,295,940	6,567,656
Investment income	6	137,828,756	145,100,096
Fair value gains		4,138,612	3,717,667
Other operating revenue		525,588	3,791,948
Total Other revenue		147,788,896	159,177,367
Total net revenue		693,761,032	865,643,409
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(321,229,138)	(402,597,653)
Net change in insurance claims outstanding		(748,071)	5,494,738
Underwriting and net acquisition costs		(97,828,237)	(153,107,839)
Change in contract liabilities - life fund	7	(13,027,767)	(10,246,378)
Other operating, administrative and selling expenses		(170,193,852)	(223,765,502)
Depreciation and amortisation		(24,309,598)	(21,888,532)
Total benefits, claims and expenses		(627,336,663)	(806,111,166)
Profit/(Loss) before Taxation		66,424,369	59,532,243
Income Tax Expense	8	(19,180,040)	(16,871,720)
Profit/(Loss) for the Period	9	47,244,329	42,660,523
Profit/(Loss) attributable to:			
Equity holders of the Company		47,244,329	42,660,523
Basic Earning per Share (LKR)		0.71	0.64
Diluted Earning per Share (LKR)		0.71	0.64

Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2024

Statement of Other Comprehensive Income

For the period ended 31 March	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Profit/(Loss) for the Period	47,244,329	42,660,523
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	125,585,794	48,037,016
Net change in liabilities of insurance contracts arising from fair value changes in available for sale financial assets		1,693,548
Net change in fair value of AFS reserve transferred to insurance Liabilities	33,185,936	(1,693,548)
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan		-
Total Other comprehensive income, net of tax	<u>158,771,730</u>	<u>48,037,016</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>206,016,059</u>	<u>90,697,539</u>

STATEMENT OF FINANCIAL POSITION

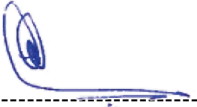
As at	Note	Un-Audited 31.03.2024 LKR	Un-Audited 31.12.2023 LKR
Assets			
Intangible assets		685,389	767,227
Property, plant and equipment		54,594,968	60,343,336
Right of use assets	10	196,290,222	198,167,666
Financial assets	11	4,025,966,683	3,949,884,217
Loans to life policyholders		237,696,284	241,246,301
Reinsurance receivables		23,574,565	11,108,850
Amounts due from related parties	13	-	30,985,542
Premium receivable		177,589,277	91,475,027
Other assets		162,552,911	175,300,705
Cash and cash equivalents		54,077,910	56,396,474
Total Assets		4,933,028,210	4,815,675,345
Equity and Liabilities			
Equity			
Stated capital	16	675,564,870	675,564,870
Retained earnings		817,693,209	770,448,880
Available for sale reserves		(9,885,187)	(35,537,005)
Total Equity		1,483,372,892	1,410,476,745
Liabilities			
Insurance contract liabilities	12	2,906,024,922	2,885,863,883
Employee benefit obligation		17,892,281	15,667,481
Reinsurance payables		48,993,058	37,579,204
Lease liabilities	10	208,447,470	221,777,381
Amounts due to related parties	13	47,354,110	49,590,990
Other financial liabilities		148,663,149	126,283,782
Other liabilities		72,280,328	68,435,879
Total Liabilities		3,449,655,318	3,405,198,600
Total Equity and Liabilities		4,933,028,210	4,815,675,345

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

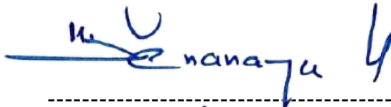


S.H. Dulanjith Kaweesha
Financial Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Ramal Jasinghe
Chairman
13, March 2024
Colombo.



Kelum Senanayake
Director / Chief Executive Officer

Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2024

STATEMENT OF CHANGES IN EQUITY

	Stated Capital LKR	AFS Reserve LKR	Retained Earnings LKR	Total LKR
Audited Balance as at 01 January 2023	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit for the period			42,660,523	42,660,523
Actuarial loss on defined benefit plan			-	-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		48,037,016		48,037,016
Total Comprehensive Income for the Period, Net of Tax				
Un-Audited Balance as at 31st March 2023	675,564,870	(168,655,936)	1,501,106,244	2,008,015,178
Profit/(Loss) for the period			(726,492,449)	(726,492,449)
Actuarial loss on defined benefit plan			(4,164,915)	(4,164,915)
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		133,118,931		133,118,931
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31st December 2023	675,564,870	(35,537,005)	770,448,880	1,410,476,745
Profit/(Loss) for the period			47,244,329	47,244,329
Actuarial loss on defined benefit plan				-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		25,651,818		25,651,818
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 31 March 2024	675,564,870	(9,885,187)	817,693,209	1,483,372,892

Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2024

STATEMENT OF CASH FLOWS

For the period ended 31 March	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Cash flows from operating activities		
Insurance premium received	522,953,954	581,299,209
Reinsurance premium paid	(10,854,508)	(13,940,595)
Insurance benefits and claims paid	(316,140,400)	(416,538,248)
Reinsurance claim received	(12,465,715)	13,940,595
Other operating cash flows	(244,008,111)	(220,101,753)
Cash generated from operating activities	(60,514,780)	(55,340,792)
Tax Paid	(10,304,155)	-
Employee benefits paid	-	(117,250.00)
Net cash generated from operating activities	(70,818,935)	(55,458,042)
Cash flows from investing activities		
Acquisition of financial investments	(250,077,347)	(9,382,362)
Proceeds from sale/maturity of investment securities	199,647,679	-
Interest/Dividend received	137,828,756	-
Acquisition of property, plant and equipment	(18,479,392)	(6,339,464)
Net Cash Used in Investing Activities	68,919,696	(15,721,826)
Net Cash Flows Before Financing Activities	(1,899,239)	(71,179,868)
Cash flows from financing activities		
Rent Advance/ payments paid for Right of Use Assets	(419,325)	-
Net cash used in financing activities	(419,325)	-
Net increase / (Decrease) in cash and cash equivalents	(2,318,564)	(71,179,868)
Cash and cash equivalents at the beginning of the year	56,396,474	169,799,599
Cash and cash equivalents at the end of the period	54,077,910	98,619,731

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 31 March 2024 were authorised for issue by the Board of Directors on 13th May 2024.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value and investment properties valued at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2023. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2023.

4. Gross Written Premium

For the Period Ended 31 March	Un-Audited 2024 LKR	Un-Audited 2023 LKR
First year premium	110,488,391	234,696,931
Renewal premium	252,138,159	270,072,548
Group premium	205,613,948	225,377,016
	568,240,498	730,146,495

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 31 March	Un-Audited 2024 LKR '000	Un-Audited 2023 LKR '000
Conventional policies		
Total premium ceded to reinsurers	22,268,362	23,680,453
Total net written premium	545,972,136	706,466,042

Notes to the Financial Statements

6. Investment income

For the Period Ended 31 March	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Held to maturity financial assets		
Interest Income	44,519,846	45,236,938
Loans and receivables		
Interest Income	83,971,513	81,233,122
Available For Sale Financial Assets		
Interest Income	9,337,397	18,630,036
Dividend income	-	-
	<u>137,828,756</u>	<u>145,100,096</u>

7. Change in contract liabilities - life fund

As per the requirement of SLFRS 4, the Liability Adequacy Test with respect to Life insurance provision was performed as at 31st December 2023.

8. Income Tax Expense

For the Period Ended 31 March	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Income tax on current period profit	19,180,040	16,871,720
Total current income tax	<u>19,180,040</u>	<u>16,871,720</u>

9. Profit/(Loss) from life insurance

No surplus or deficit transfer has been made from the life insurance fund to the Income Statement for quarter ended 31st March 2024.

10. Right of Use Assets

As at	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Opening balance	198,167,665	163,439,549
Additions of right of use lease asset during the period	11,954,281	120,713,332
Depreciation for the period	(16,084,058)	(98,707,883)
Advance payment for leases	2,252,334	12,722,667
Closing balance	<u>196,290,222</u>	<u>198,167,665</u>

Lease liabilities

As at	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Opening balance	221,777,381	175,394,254
Additions during the period	11,954,281	120,713,332
Finance cost recognised in profit and loss	5,444,591	41,208,804
Lease payments	(30,728,783)	(115,539,009)
Closing balance	<u>208,447,470</u>	<u>221,777,381</u>

Notes to the Financial Statements

11. Financial Assets

As at	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Loans and receivables (11.1)	2,353,619,838	2,193,341,372
Available-for-sale financial assets (11.2)	561,268,549	547,159,911
Held to Maturity (11.3)	989,941,747	1,091,046,901
Fair Value through profit & Loss (11.4)	121,136,549	118,336,033
	4,025,966,683	3,949,884,217

11.1 Loans and receivables

	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Amortised cost		
Debentures	665,566,133	653,557,573
Fixed deposit	1,168,048,351	1,114,975,140
Reverse repurchase agreements	389,844,487	242,836,584
RPAF loan	101,058,356	100,000,000
Treasury bills	29,102,511	81,972,074
	2,353,619,838	2,193,341,372

Available-for-sale financial assets

	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
11.2 Treasury bonds	289,136,644	300,321,631
Quoted equities	272,131,905	246,838,280
	561,268,549	547,159,911

11.3 Held to Maturity

	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Treasury bonds	989,941,747	1,091,046,901
	989,941,747	1,091,046,901

11.4 Fair Value through profit & Loss

	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Unit trust	121,136,549	118,336,033
	121,136,549	118,336,033

12. Insurance Contract Liabilities

As at	Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Balance as at 1 January	2,885,863,000	2,241,859,388
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(13,024,014)	(357,221,693)
Surplus transferred from / (to) shareholders	-	948,956,234
Increase in life insurance fund	2,872,838,986	591,734,541
Movement in AFS reserve transferred to life fund	33,185,936	52,269,954
Life Insurance Fund balance as at period end	2,906,024,922	2,885,863,883

Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2024

13. Related Party Transactions

13.1 Amounts Due to Related Party

As at		Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	7,527,120	11,696,838
Richard Pieris Distributors Limited	Fellow Subsidiary	39,826,990	37,894,152
Arpico Interiors (Pvt) Ltd	Fellow Subsidiary	-	-
Arpitech (pvt) Ltd	Fellow Subsidiary	-	-
		47,354,110	49,590,990

13.2 Amounts Due From Related Parties

As at		Un-Audited 31.03.2024 LKR	Audited 31.12.2023 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	30,985,542
Richard Pieris Distributors Limited	Fellow Subsidiary	-	-
		-	30,985,542

14. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31 December 2023, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

15. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

16. Stated Capital

As at 30 September	Un-Audited 2024 LKR	Audited 2023 LKR
Ordinary Shares	675,564,870	675,564,870
	675,564,870	675,564,870
No of Ordinary Shares	66,230,407	66,230,407

Arpico Insurance PLC
Interim Financial Statements - Quarter 1 - 2024

17. Share Information

17.1 Net Assets Per Share

As at 31 March	Un-Audited 2024 LKR	Un-Audited 2023 LKR
Net Assets Per Share	22.40	21.30

17.2 Market Price Per Share

For the quarter ended 30 March	2024 LKR	2023 LKR
Highest Price	24.90	23.40
Lowest Price	20.90	21.70
Closing Price	24.00	22.90
Market Capitalization	1,589,529,768	1,516,676,320
Float Adjusted Market capitalization	159,129,696	151,819,300

18. Public Shareholding

For the quarter ended 31 December	2024 No of Shares	%	2023 No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

19. Directors' Shareholding

As at 31 March	2024	2023
Mrs. Lasinee Serasinhe	Nil	Nil
Mr. Ramal Jasinghe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil

20. Twenty Largest Shareholders as at 31 March 2024

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84%
4 MR.D.G.WIJEMANNA	1,734,588	2.62%
5 MRS.T.T.A.DE SILVA WEERASOORIA	1,101,076	1.66%
6 MR.C.S.N.SILVAPULLE	668,399	1.01%
7 MR.B.T.DE S WEERASOORIA	257,678	0.39%
8 MR.J.P.PAUL	252,285	0.38%
9 T R L HOLDINGS (PVT) LIMITED	250,000	0.38%
10 MR.A.P.ARUMUGAMPILLAI	200,000	0.30%
11 MR.D.P.NAVARATNAM	194,000	0.29%
12 MR.T.A.N.GOMIS	148,685	0.22%
13 MR.S.A.OBEYESEKERE	103,300	0.16%
14 TRADING PARTNERS (PVT) LTD	100,000	0.15%
15 FLYBRUNEI SDN BHD	99,700	0.15%
16 MR.M.L.A.BENEDICT	93,500	0.14%
17 PEOPLES LEASING & FINANCE PLC/MR.K. PEOPLES LEASING & FINANCE PLC	86,531	0.13%
18 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	85,261	0.13%
19 MR.H.A.S.MADANAYAKE	78,300	0.12%
20 MRS.K.ELANKAINESAN	70,000	0.11%
Others	65,123,306	98.33%
Total	1,107,101	1.67%
	66,230,407	100.00%